

Volume is unusual. Heavy volume appears near the head as price rises away from it toward the right shoulder. The right shoulder volume looks like something you would want to tackle with your shaver: annoying but not high enough to be alarming.

Price advances smartly after the right shoulder bottom forms and then moves sideways for 2 weeks before starting back down.

Although this example does have an upward breakout, price fails to rise by more than 5% above the neckline. Price should reach 39.38 to meet the 5% threshold, but does not. The result is a failure of the 5% rule: Price must rise by more than 5% after a breakout or the chart pattern is a dud.

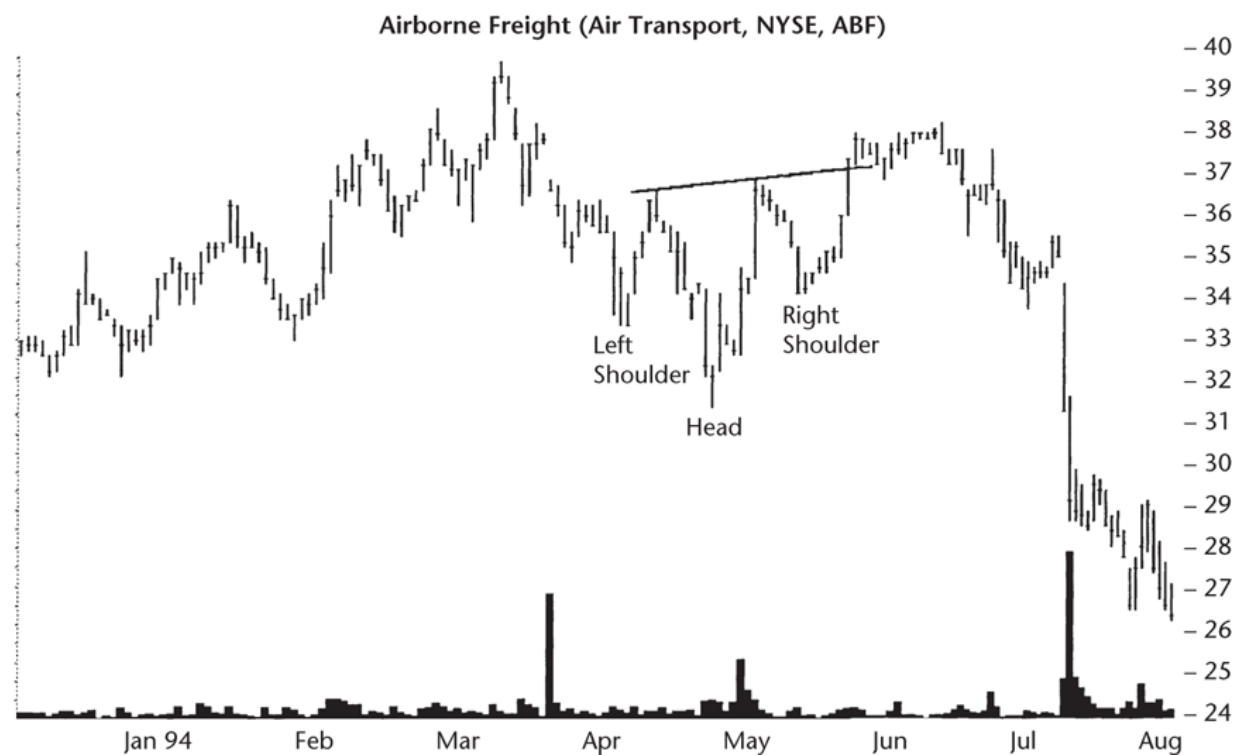


Figure 39.5 A 5% failure in a head-and-shoulders bottom. Price must rise by more than 5% before the chart pattern is a success. A 5% rise should take price to 39.38 but it does not happen.

Statistics

Table 39.2 shows general statistics.